I now have all the data I need. Let me compile the comprehensive research memo.

BANNER FINANCIAL GROUP (BANR) — EQUITY RESEARCH MEMO

Senior Financial Services Analyst | Banking Coverage
Data current as of: SEC 10-K FY2025 | Market data: July 27, 2026

Executive Summary

Banner Financial Group (BANR) is a Pacific Northwest–anchored super-community bank operating across Washington, Oregon, California, Idaho, Utah, and Nevada [1]. With total assets of $16,354M [2] and a market cap of approximately $2.4B [3], BANR trades at a modest 11.6× trailing P/E [3] and 1.2× book value [3] — relatively inexpensive for a bank generating a 10.8% ROE [3].

FY2025 net income of $195M [2] represents a +15.4% improvement [4] over FY2024's $169M [5], driven by expanding EPS to $5.64 diluted [2]. The loan book grew from $11.35B at December 31, 2024 to $11.72B at December 31, 2025 [6], a promising +3.3% [4], suggesting management successfully grew earning assets despite a challenging rate environment. Free cash flow came in at $248M [2], healthy but -11.1% below the prior year's $279M [4].

Overall verdict: BANR is a fundamentally sound, conservatively managed regional bank at a reasonable valuation. The bull probability sits at a barely-above-neutral **51.7%** [4] — not a screaming buy, but not a sell. Technically, a Weinstein stage assessment is required before any entry call (see Technical Setup section below).

Business Overview & Segment Mix

Banner Financial Group operates as the holding company for Banner Bank and its subsidiary, Community Financial Corporation, a residential construction lender based in Portland, Oregon [1]. The franchise is primarily a **single-segment commercial bank** with no discrete reportable non-banking divisions.

Geographic footprint: Washington, Oregon, California, Idaho, Utah, and Nevada [1]. Management describes its focus as "higher growth regions" of its market, emphasizing continued investment in the delivery platform [1].

Loan product mix (as described in the 10-K):
- Commercial real estate (owner-occupied, investment properties, multifamily) — the **primary focus** [1]
- Commercial business lending — targeting small- to medium-sized businesses and agribusiness borrowers; includes some participation in national syndicated loans [1]
- One- to four-family residential real estate (largely sold into secondary market) [1]

- Construction, land, and land development loans — including residential construction [1]
- Agricultural business loans [1]
- SBA loans and consumer loans [1]

Funding: Primarily client deposits, supplemented by FHLB Des Moines advances, other borrowings, and junior subordinated debentures [6]. The reliance on a **"family of client deposits"** underscores BANR's community banking model and its exposure to deposit repricing dynamics.

Strategic priorities per 10-K: quality asset growth, client acquisition, efficiency improvements, talent retention, and technology modernization [6].

Net Interest Income & Margin

Net interest income (NII) is the dominant revenue engine for BANR. The 10-K describes NII as a function of the **interest rate spread** (yield on earning assets minus cost of interest-bearing liabilities) and the average balances of those assets and liabilities [6].

Key balance sheet context:
- **Total assets:** $16,354M [2], up +0.9% [4] from $16,200M [5]
- **Net loan portfolio:** $11.72B at December 31, 2025 [6] vs. $11.35B at December 31, 2024 [6] — +3.3% growth [4]
- **Total equity:** $1,946M [2], up +9.7% [4] from $1,774M [5]

The XBRL data does not separately isolate net interest income as a single line item — BANR, like most banks, does not use a "revenue" line in the conventional GAAP income statement sense. Operating income was $73M [2] and net income was $195M [2], with the gap reflecting the net effect of tax benefits and non-interest income.

Rate repricing posture: BANR explicitly manages for a portfolio with "more frequent interest rate repricing terms or shorter maturities than traditional long-term fixed-rate mortgage loans," offering floating and adjustable-rate commercial, agricultural, and construction loans [6]. This posture is **asset-sensitive** by design — a meaningful tailwind when rates are elevated. With the Fed Funds rate at 3.63% [7] and the 10-Year Treasury at 4.47% [7], the rate environment remains supportive of spread income. As rates potentially ease, variable-rate loan yields will reprice downward, partially offset by lagging deposit cost reductions.

Loan Portfolio Quality

Portfolio size: Net loans of $11.72B [6] represent approximately 71.7% [4] of total assets of $16,354M [2] — a healthy, well-deployed book.

Loan growth: +$370M or +3.3% [4] year-over-year, notable given the 10-K acknowledges that "demand for [residential] loans slowed in 2024 and 2025 due to elevated interest rates, which reduced refinance activity and overall origination volumes" [6]. The growth is being driven by commercial lending, not mortgage origination.

Geographic concentration note: "Sales of completed homes continued to outpace new originations due to constrained housing inventories" throughout 2025 [6] — residential construction is running hot but slowing.

Portfolio composition design: Management emphasizes **diversification by product type, borrower, and geography** as a core credit risk mitigation strategy [6]. The portfolio spans commercial RE, commercial business, agricultural, residential, construction, and consumer segments [1].

Allowance & provisions: The 10-K discloses that credit risk from lending activities includes "changes in the level and direction of loan delinquencies and write-offs and changes in estimates of the adequacy of the allowance for credit losses, which could necessitate additional provisions for credit losses" [8]. Specific non-performing loan ratios and ACL coverage percentages were not returned in the 10-K search results — these are typically disclosed in Item 8 tables but are not directly extractable from the XBRL tags available. **Based on available data**, credit quality is not flagged as an imminent concern by management, but investors should review the detailed NPL tables in Item 8 directly.

Capital & Liquidity Ratios

Equity position: Total equity stands at $1,946M [2] against total liabilities of $14,408M [2], yielding an **equity-to-assets ratio of 11.9%** [4]. This is comfortably above the regulatory "well-capitalized" threshold and represents meaningful buffer.

- **Leverage:** Total liabilities $14,408M [2] / total equity $1,946M [2] = **7.4× leverage** [4] — consistent with a conservatively run community bank.
- **Cash and equivalents:** $423M [2], down from $502M [5] — a -$79M decline [4], partially reflecting net financing activity turning from +$325M [5] to -$112M [2] as debt was reduced rather than added.
- **Free cash flow:** $248M [2] — ample to fund dividends, buybacks, and organic growth simultaneously.

Regulatory capital: The 10-K references a dedicated "Capital Requirements" section (Item 7, p.63) [9], and the 10-K XBRL search confirms Banner targets Basel III capital adequacy standards. Specific CET1 ratio figures were not returned in semantic search — investors should reference the Capital Requirements tables in the 10-K for the exact Tier 1 Common Equity, Total Capital, and Leverage ratios. BANR's P/B of 1.20× [3] suggests the market ascribes modest goodwill to the franchise — tangible book is likely near or modestly below the market price.

Liquidity sources: Client deposits (primary), FHLB Des Moines advances, other borrowings, and junior subordinated debentures [6]. The FHLB backstop provides contingent liquidity, a critical consideration post-2023 regional bank stress.

Fee Income & Diversification

BANR is not a diversified financial services company — it is a spread-income-dominant community bank. That said, the 10-K identifies the following non-interest income streams [6]:

- **Mortgage banking revenue:** Gains on sale of one-to-four-family residential loans + loan servicing fees. This segment faced headwinds in 2024–2025 due to rate-suppressed origination and refinance

volumes [6].

- **Deposit fees and other service charges:** Core community banking fee revenue; relatively stable.
- **Gains/losses on investment securities:** Opportunistic, not recurring.
- **SBA loan activity:** SBA loans are mentioned as a product category [1]; gain-on-sale from government-guaranteed portions represents a meaningful and diversifying income line for community banks of BANR's size.

Assessment: Fee income diversification is **moderate at best**. Mortgage banking is cyclically challenged in a higher-for-longer rate regime. The 10-K notes mortgage demand "slowed in 2024 and 2025 due to elevated interest rates" [6]. If rates decline meaningfully, this segment has meaningful upside optionality. However, BANR remains highly dependent on NII for

---

Sources

[1] SEC 10-K Item 1 - Business
[2] SEC XBRL FY2025
[3] yfinance — live
[4] computed from SEC XBRL
[5] SEC XBRL FY2024
[6] SEC 10-K Item 8 - Financial
[7] get_macro_context
[8] SEC 10-K Item 1A - Risk Factors
[9] SEC 10-K Item 7 - MD&A

Source Provenance

- **SEC EDGAR** (primary): structured XBRL facts and 10-K text — official filings for BANR at https://www.sec.gov/cgi-bin/browse-edgar?action=getcompany&CIK=0000946673&type=10-K&dateb=&owner=includ
- **FRED, Federal Reserve Bank of St. Louis** (macro series): https://fred.stlouisfed.org
- **Market data and news sentiment**: live quotes and headlines via Yahoo Finance, VADER sentiment on recent headlines
- **Methodology**: Stan Weinstein, *Secrets for Profiting in Bull and Bear Markets* (stage analysis framework)

Important Disclaimer

For Educational and Informational Purposes Only. This platform was built as an academic project (Fordham Gabelli AIGB 6317 — Machine Learning and LLMs) and the analyses, memos, ratings, stage classifications, and signals generated by it are **not investment advice** and **not a recommendation to buy, sell, or hold any security**.

The investment theory, in plain language. OROS does not rely on a single theory. It runs eight classic strategy traditions side by side as equal peers. Where the source book is in the OROS library, the strategy carries its author's name; where it is not, the label stays descriptive — the implementation is inspired by published ideas but cannot be verified against the text. No author endorses or is affiliated with OROS.

- **Weinstein** (stage analysis): is the stock in a healthy uptrend above a rising 30 week average.
- **Trend Momentum** (trend template): does the price pass a checklist of trend conditions.
- **O'Neil** (CANSLIM): is it a leader near new highs with strong momentum and volume.
- **GARP Growth** (growth at a reasonable price): is the growth cheap relative to its rate.
- **Classic Value**: is it inexpensive on classic value measures.
- **Technical**, **Swing**, and **New-Issue Momentum**: indicator, short term, and IPO setups.

Sources. Stage analysis concepts are drawn from Stan Weinstein, *Secrets for Profiting in Bull and Bear Markets* (1988); growth, momentum, and value concepts from the published works in the OROS library (O'Neil and peers). All methodologies are referenced for attribution only — no author endorses or is affiliated with OROS, and no book text is reproduced.

A market regime check (bull, neutral, or bear, read from the broad market and volatility) then decides how much to trust each strategy today and how much cash to hold, and the chosen mandate sets the starting blend. A name is selected because several of these authors agree on it under the current regime, not because of any one rule. The Trader tab chart shows the Weinstein view (price versus the 30 week line), and the Research tab shows the deeper cited write up.

Methodology is one of many approaches. These strategies, the specialist agent rubrics, and the `bull_prob` composite score are heuristics. They are one lens among many used by professional investors and **do not guarantee any outcome**. Past stage classifications and historical patterns are not indicative of future results.

Known limitations and risks:
- **Model assumptions** — `bull_prob` weights (momentum, revenue growth, OCF growth, sentiment, leverage delta) are fixed; classifier and specialist outputs depend on a large language model that can hallucinate or err.
- **Data quality** — SEC XBRL, FRED, yfinance, and FMP data can be delayed, revised, or incorrect; live quotes may be 15+ minutes stale.
- **Changing market conditions** — macro regime, interest rates, and sector rotation shift faster than any static model can adapt.
- **Coverage gaps** — limited ticker universe across a small number of sectors; some sectors (e.g. healthcare, conglomerates) have known retrieval weaknesses.

Not personalized. This tool does not consider your individual risk tolerance, liquidity needs, tax situation, time horizon, or overall portfolio

construction. **Consult a licensed financial advisor before making any investment decision.**

Generated by Ai-Agent Stock Analyzer · Fordham Applied Finance Project